

State Law Analysis - Cancellation Notices & WC Waiver of Subrogation

Operational guidance for Vixxo COI review. Not legal advice. Companion to `vixxo-requirements.md` and `endorsement-equivalents.md`.

Executive summary

Requirement	Default under state law	What Vixxo needs
30-day cancellation notice	Not automatic for certificate holders	Policy endorsement (IL 01 03, CG 02 24, or equivalent) - COI language alone is not enforceable
WC WOS (WC 00 03 13)	Allowed in most states; effect varies	Endorsement on WC policy; cannot be required in several states

Highest-risk states: Kentucky, New Hampshire, Kansas (private construction), Missouri (construction), Oregon (construction), plus monopolistic WC fund states (Ohio, Washington, North Dakota, Wyoming).

Part 1 - Cancellation notice laws

Three concepts (often conflated)

1. Insurer -> named insured notice - state insurance code; days vary by state, line, and reason.
2. Insurer -> third party / certificate holder notice - not default; requires policy endorsement or state designation statute.
3. COI Description of Operations - informational; does not create enforceable rights (NY DFS, Texas Ins. Code § 1811.155, ACORD 25 disclaimer).

Named-insured statutory notice (examples)

State	Authority	Typical notice to insured
Texas	Ins. Code § 551.053	10 days before cancellation (liability/commercial property)
Arizona	DIFI / AZ insurance law	5 days cancellation; 30 days non-renewal (homeowners)
Connecticut	C.G.S. § 38a-343	45 days (many cancellations); 10-15 days nonpayment
Connecticut	C.G.S. § 38a-323	60 days intent not to renew

Statutory notice to the insured does not flow automatically to Vixxo as certificate holder.

Third-party / certificate holder notice

Default (most states): No statutory notice unless named in policy/endorsement or designated under state law.

* Connecticut § 38a-323a: Third party may receive duplicate cancel/nonrenew notices on auto and homeowners only; requires designation form + acceptance.

* Texas § 1811.155: Legal right to notice only if named in policy/endorsement and policy or law requires it.

* New York OGC 01-05-11: 30-day COI language unenforceable without underlying policy/endorsement.

COI regulation trend

Connecticut, Delaware, Texas, and New York restrict certificates that warrant compliance or expand policy terms beyond what the policy provides.

Vixxo rule: "30 days' Notice of Cancellation applies" on the COI is a compliance checkpoint. Flag Needs clarification unless a cancellation-notice endorsement is attached.

Part 2 - WC waiver of subrogation (WOS)

What WC 00 03 13 does

- * Waives carrier recovery from a scheduled third party when required by written contract
- * Does not block employee third-party suits
- * May not waive reimbursement lien or future credit - varies by state
- * Premium typically 5-10% of manual premium for covered contract

Tier 1 - Prohibited or effectively unavailable

State	Authority	Vixxo action
Kentucky	K.R.S. § 342.700; KY DOI Adv. Op. 99-13	Do not deficiency-mark; escalate
New Hampshire	N.H. Rev. Stat. § 281-A:13(VI)	Do not deficiency-mark; escalate

Missouri	Mo. Rev. Stat. § 287.150	Void in construction contracts (prospective)
Oregon	ORS 30.145	Void in construction agreements
Ohio	Monopolistic BWC	WC 00 03 13 N/A
Washington	Monopolistic L&I	WC 00 03 13 N/A
North Dakota	Monopolistic WSI	WC 00 03 13 N/A / unclear
Wyoming	Monopolistic	WC 00 03 13 N/A
Tier 2 - Allowed but limited effect		
State	Key limitation	
Arizona	Favorable - waiver	includes reimbursement (Olivas, 9th Cir.)
New York	Subrogation waived	separate reimbursement right may survive
New Jersey	Waiver bars reimbursement too	
Mississippi	Waiver bars reimbursement	
Texas	Broad - subrogation, reimbursement, future credit (Wedel, 2018); use WC 42 03 04	
Maine	Reimbursement right may survive	
Virginia	Carrier reimbursement lien may survive	
Wisconsin	Employer cannot waive without insurer endorsement	
Pennsylvania	Future credit must be expressly waived	
California	Future credit not waived unless express	
Nebraska	Future credit not waived unless intentional; DOI form approval	
Louisiana	Oilfield anti-indemnity constraints	
Colorado	Construction WOS	limited to contractor's work scope
Tier 3 - Generally permitted		
Alabama, Alaska, Arkansas, Connecticut, Delaware, Florida, Georgia, Hawaii, Idaho, Illinois, Indiana, Iowa, Maryland, Massachusetts, Michigan, Minnesota, Montana, Nevada, New Mexico (except oilfield), North Carolina, Oklahoma, Rhode Island, South Carolina, South Dakota, Tennessee, Utah, Vermont, West Virginia, and others.		
Part 3 - Vixxo crosswalk		
Cancellation notice		
Vixxo requirement	Review outcome	
30-day NOC language on COI only	Needs clarification	request IL 01 03 or CG 02 24
NOC endorsement attached	Compliant	
Neither language nor endorsement	Deficient	
WC WOS		
Scenario	Review outcome	
Tier 1 state SP	Do not deficiency-mark WC WOS; escalate	
Monopolistic fund state	Verify state fund cert; WC WOS N/A	
Other states	Require WC 00 03 13 or state equivalent on policy	
Part 4 - Recommendations		
1. Split WC WOS from GL/Auto WOS in deficiency letters for Tier 1 states. 2. Always request the NOC endorsement, not COI language alone. 3. Apply law of work state for construction bans (MO, OR, KS). 4. Monopolistic states: verify state fund coverage; drop WC WOS from checklist. 5. Document statutory exceptions in Freshdesk internal notes.		
Sources		
* Matthiesen, Wickert & Lehrer - WC Subrogation Waiver Endorsements in All 50 States (2022) * Kentucky DOI Advisory Opinion 99-13 * N.H. Rev. Stat. § 281-A:13(VI); ORS 30.145 * Texas Ins. Code §§ 551.053, 1811.155		

* NY DFS OGC Opinion 01-05-11

* Connecticut C.G.S. §§ 38a-323, 38a-323a, 38a-343

* Arizona DIFI cancellation FAQ

See also: `state-law-quick-reference.md`, `assets/state-law-quick-reference.pdf`